

Frequently Asked Questions (FAQs) on CPI 2024 Series

1. What is Consumer Price Index?

Ans: The Consumer Price Index (CPI) is designed to measure the changes over time in general level of retail prices of selected goods and services that households purchase for the purpose of consumption.

2. How inflation is calculated using CPI?

Ans: Inflation is calculated as the year-on-year percentage change in CPI.

Inflation Rate (%) = $\frac{I_t - I_{t-12}}{I_{t-12}} \times 100$, where I_t is the CPI for the month 't'. I_{t-12} is the CPI for the t month of the previous year.

3. What is Base Year and why it is important?

Ans: The Base Year is a chosen year taken as a reference point (index = 100) to compare prices over time. It is important because it helps measure how much prices have increased or decreased and keeps inflation figures relevant and easy to understand.

4. What is the Base Year of new CPI series?

Ans: The base year of the new CPI series is 2024=100.

5. What is the base updation exercise?

Ans: The base updation exercise mainly involves revising the CPI item basket and updating item weights based on the latest Household Consumption Expenditure Survey (HCES). This base updation exercise encompasses fresh market survey, base price collection and other methodological refinements.

6. On which HCES, the new CPI series is updated?

Ans: The latest Household Consumption Expenditure Survey (HCES) 2023-24 is used for updating item basket and weights of CPI 2024 series.

7. How many markets & towns are covered in CPI 2024?

Ans: CPI 2024 series covers 1,465 rural markets and 1,395 urban markets across 434 towns. In addition, 12 online markets are covered across 12 towns having a population of more than 25 lakh.

8. How often is price data collected for CPI?

Ans: Price data are collected monthly from rural and urban markets. Online prices are collected on weekly basis.

9. What are Index reference period, Weight reference period and Price reference period?

Ans:

Index reference period: It is the period for which index equals 100. For the current CPI, the index reference period is 2024=100.

Weight reference period: It is the period for on the basis of which weights are calculated. For CPI 2024, Household Consumption Expenditure Survey 2023-24 data is used for deriving the weights.

Price reference period: It is the period during which the base prices are collected. The price reference for the current CPI series is calendar year 2024.

10. What are the major changes in CPI 2024 series?

Ans: Major changes in CPI 2024 includes revising item baskets and weights as per HCES 2023-24, adoption of COICOP - 2018 Framework, refinement in Index compilation methodology, inclusion of alternative data sources, use of modern technology and more granular data dissemination.

11. When the Consumer Price Index (Rural, urban and combined) has been started releasing in India by MoSPI?

Ans: The Consumer Price Index (Rural, urban and combined) has been started releasing by the Ministry of Statistics and Programme Implementation (MoSPI) since January 2011 with base year 2010=100.

12. Are weights for CPI 2024 available in public domain?

Ans: Weights (All India, State, Sector, Division, Group and Item wise) for CPI 2024 series are available at “www.mospi.gov.in” and <https://www.cpi.mospi.gov.in> in announcement tab.

13. What is the main role of the Expert Group constituted for the Base Revision of CPI 2024?

Ans: The main role of the Expert Group is to provide guidance and recommendations on the CPI base update including sample selection and methodology.

14. Have online markets been included in the CPI 2024 series?

Ans: Twelve online markets have been added across 12 towns with a population of more than 25 lakh to capture price variations of items sold on e-commerce and online platforms. In addition, price collection for airfare, telephone and OTT are also collected through online platforms.

15. How has the number of weighted items changed in the CPI 2024 series compared to CPI 2012?

Ans: At All-India level, the total weighted items have been increased from 299 to 358. Specifically, goods items have risen from 259 to 308, and services items from 40 to 50.

16. Which organization collects CPI price data for MoSPI?

Ans: Field Operations Division of National Sample Survey (NSS), MoSPI collects monthly price data for CPI.

17. How are prices collected under the CPI 2024 series?

Ans: In the CPI 2024 series, prices are collected using a tablet-based software application via Computer Assisted Personal Interview (CAPI), replacing the traditional paper-based method.

18. What is COICOP? Why its adoption is important for CPI 2024?

Ans: The Classification of Individual Consumption According to Purpose (COICOP) is the international classification of household expenditure developed by United Nations Statistics Division. The objective of the COICOP is to provide a framework of homogeneous categories of goods and services from the point of view of its usage by the households. Its adoption ensures that India's CPI is comparable with CPIs worldwide.

19. What is the hierarchical structure of CPI 2024 after adopting COICOP 2018?

Ans: CPI 2024 has 12 Divisions, 43 Groups, 92 Classes, and 162 Sub-classes as per COICOP 2018.

20. Which method is used for elementary index compilation in the CPI 2024 series?

Ans: The Jevons index (Short index formula) is used for compiling elementary indices in the CPI 2024 series.

21. Which method is used for higher level index compilation in the CPI 2024 series?

Ans: The Young/Modified Laspeyres' index is used for compiling higher level indices in the CPI 2024 series.

22. What is the sample size of dwellings for house rent collection in CPI 2024 series?

Ans: Total 19039 dwellings, including 15715 in urban and 3324 in rural, are identified for rent collection in CPI 2024. In view of use of chain-based index, more dwellings, if available, may be added in future.

23. Is rural housing covered in CPI 2024?

Ans: Yes

24. What is weight of rural housing in CPI 2024?

Ans: The weight of rural housing in CPI 2024 series is 11.764%. This includes Housing, water, electricity, gas and other fuels. However, House rent share for rural sector is 2.4572.

25. Why free social transfers expenditure is not considered in the CPI?

Ans: By definition, CPI should include only items on which households actually spend money. IMF's manual on CPI also suggests that social transfer in kind should not be considered in CPI compilation. In view of this, free social transfers are excluded from CPI.

26. What alternative data sources are being used in the CPI 2024 series?

Ans: In the CPI 2024 series, alternative data sources such as administrative data and e-commerce/online price data are used.

27. How the prices for airfares are collected in the CPI 2024 series?

Ans: Airfares are collected through well-known online platforms.

28. How online media and streaming services prices are collected in the CPI 2024 series?

Ans: Prices for services like Amazon Prime Video, Netflix, Jio Hotstar, SonyLiv, YouTube Premium, and Zee5 are collected online directly from the service providers' websites.

29. Will both prepaid and postpaid mobile plans be included in CPI 2024?

Ans: Yes. Two plans for both pre-paid and post-paid are included for compilation of telephone charges(mobile) index. Administrative data on subscriber shares is taken from the report of TRAI.

30. What is source of data for postal and money order charges in the CPI 2024 series?

Ans: Postage and money order charges are collected from administrative data provided by the Department of Posts.

31. What is source of data for rail fare in the CPI 2024 series?

Ans: Rail fares are collected using administrative data from the Ministry of Railways.

32. What is source of data for fuel prices (i.e. for Petrol, Diesel, LPG, CNG, PNG) in the CPI2024 series?

Ans: Retail selling prices (RSP) of fuel items are collected from the Petroleum Planning and Analysis Cell (PPAC), Ministry of Petroleum & Natural Gas.

33. Will all India item level indices at (Rural/ Urban/ Combined) be released?

Ans: All India General, combined, rural, urban wise indices for Divisions, Groups, Classes, Sub-classes and items will be released every month.

34. Will state level CPI also be released?

Ans: State level General, combined, rural, urban wise indices for Divisions, Groups, Classes, Sub-classes and items will be released every month for all States/UTs.

35. From where can CPI 2024 data be accessed?

Ans: CPI 2024 data can be accessed from the e-Sankhyiki portal (MoSPI) at: <https://esankhyiki.mospi.gov.in/macroindicators?product=cpi>

36. Will Back Series data will be released?

Ans: The back series will be calculated on the basis of linking factor. Following Back Series for Base 2024=100 will be published on 12th February, 2026;

- All India Indices for Rural, Urban and Combined sectors for the period of January 2013 to December 2024.
- Annual Inflation rates based on all India Indices for Rural, Urban and Combined sectors for the period of January 2014 to December 2024.

37. How is the linking factor calculated for back series?

Ans: The **linking factor** is calculated to connect the two series over a common overlapping period. The overlapping period here is 2025, during which both CPI 2012 and CPI 2024 indices are available. This overlapping year forms the basis for linking the two series.

Formula for CPI Linking Factor (Annual Overlapping) is as follows:

Let $Avg I_y^{new}$: denote the annual average (Geometric Mean) CPI of the new series for the overlapping year y;

$Avg I_y^{old}$: denote the annual average (Geometric Mean) CPI of the old series for the same overlapping year y.

The Linking Factor (LF) is given by:

$$LF = Avg I_y^{new} / Avg I_y^{old}$$

The linked CPI for the earlier month t is obtained as:

$$I_t^{linked} = I_t^{old} \times LF \text{ (where month t implies earlier period than y)}$$

I_t^{old} is the CPI for month t from the CPI 2012 series and I_t^{linked} is the corresponding CPI for month t with base 2024. "y" denotes year 2025.

38. What is the linking factors at general level for CPI at base 2024=100?

Ans: Following linking factor is used to calculate back series at general level;

S. no.	CPI General Level	Linking factor
1.	Rural	0.5222
2.	Urban	0.5320
3.	Combined	0.5267

39. What are group and division wise change in weights in CPI 2012 & CPI 2024?

Ans: Group-wise weights as per CPI 2012 structure are given in table below:

Group	Rural		Urban		Combined	
	2012	2024	2012	2024	2012	2024
Food and Beverages	54.180	44.801	36.287	34.264	45.863	40.104
Pan, Tobacco &Intoxicants	3.263	3.733	1.363	2.065	2.380	2.989
Clothing and footwear	7.357	7.123	5.571	5.464	6.527	6.383
Housing	NA	5.527	21.664	19.778	10.070	11.881
Fuel and Light	7.940	5.957	5.580	4.907	6.843	5.489
Miscellaneous	27.260	32.858	29.535	33.523	28.317	33.154

Division-wise weights as per new (2024) structure are given in table below:

Divisions	Rural		Urban		Combined	
	CPI 2012	CPI 2024	CPI 2012	CPI 2024	CPI 2012	CPI 2024
Food and beverages	50.922	41.983	32.811	30.251	42.617	36.753
Paan, tobacco and intoxicants	3.263	3.733	1.363	2.065	2.380	2.989
Clothing and footwear	7.357	7.123	5.571	5.464	6.527	6.383
Housing, water, electricity, gas and other fuels	7.983	11.764	27.294	25.000	16.888	17.665
Furnishings, household equipment and routine household maintenance	3.632	4.609	3.701	4.296	3.656	4.469
Health	6.839	6.764	4.820	5.275	5.900	6.100
Transport	5.645	8.644	7.129	8.985	6.394	8.796
Information and communication	2.818	3.647	3.906	3.563	3.323	3.609
Recreation, sport and culture	1.463	1.359	1.634	1.710	1.547	1.516
Education Services	2.468	2.383	4.720	4.515	3.513	3.333
Restaurants and accommodation services	3.248	2.841	3.489	3.978	3.246	3.348
Personal care, social protection and miscellaneous goods and services	4.362	5.150	3.566	4.899	4.006	5.038

40. What is the extent of change in the weight of “Food & Beverages” in CPI 2024 series?

Ans: If the CPI 2012 classification system were followed, the share of Food and Beverages would have declined from 45.86% to 40.10%. As per the CPI 2024 classification structure, the share of Food and Beverages, which currently stands at 36.75% for 2024 series, would have been around 42.62% for the 2012 series. The change in structure between both the series is due to adoption of Classification of Individual Consumption According to Purpose (COICOP) 2018 Framework of United Nations Statistics Division (UNSD).

41. What is the actual share of Education in CPI 2024 series?

Ans: The weight of education services in CPI 2024 is 3.3%. Under COICOP 2018, books and stationery are classified separately from education services. When education services are combined with books and stationery, the effective “Education” share in CPI 2024 is 4.0%, compared with 4.46% in CPI 2012.

42. How often will base revisions occur in the future?

Ans: The Ministry plans to institutionalize base revisions at regular intervals. As per global practices, it should be done every three to five years, depending on the availability of Household Consumption Expenditure Survey (HCES) data.

[For more details, Expert Group Report on Comprehensive Updation of Consumer Price Index may be seen on this link.](#)
